The FRBM Bill, 2000 was passed by the Parliament with all political parties voting in favour, and is considered a watershed in the area of fiscal reforms in the country. Main highlights of the FRBMA, 2003 are as given below:[42]

(i) GoI to take measures to reduce fiscal and revenue deficit so as to eliminate revenue deficit by March 31, 2008 (which was revised by the UPA Government to March 31, 2009) and thereafter build up adequate ***revenue surplus.***

(ii) Rules to be made under the Act to specify ***annual targets*** for the reduction of fiscal deficit (FD) and revenue deficit (RD) contingent liabilities and total liabilities (***RD to be cut by 0.5 per cent per annum and FD by 0.3 per cent p.a.***).

(iii) FD and RD may exceed the targets only on the grounds such as national security, calamity or on exceptional grounds.

(iv) GoI not to borrow from RBI except by Ways and Means Advances (WMAs).

(v) RBI not to subscribe to the primary issue of the GoI securities from 2006-07 (it means that these government bonds/papers will become market—based instrument to raise long-term funds by the government).

(vi) Steps to be taken to ensure greater transparency in fiscal operations.

(vii) Along with the Budget and Demands for Grants, the GoI to lay the following ***three statements*** before the Parliament in each financial year:

(a) Fiscal Policy Strategy Statement (FPSS);

(b) Medium Term Fiscal Policy Statement (MTFPS); and

(c) Macroeconomic Framework Statement (MFS).

(viii) The Finance Minister to make ***quarterly review*** of trends in receipts and expenditure in relation to the Budget and place the review before the Parliament.

Follow-up to the FRBMA